

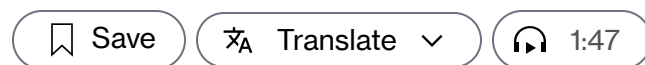
Goldman Says Markets Too Optimistic on Pace of US Inflation Drop

- Strategists watching impact of energy prices, pace of growth
- FOMC is still concerned about persistent price increases



By [Joanna Ossinger](#)

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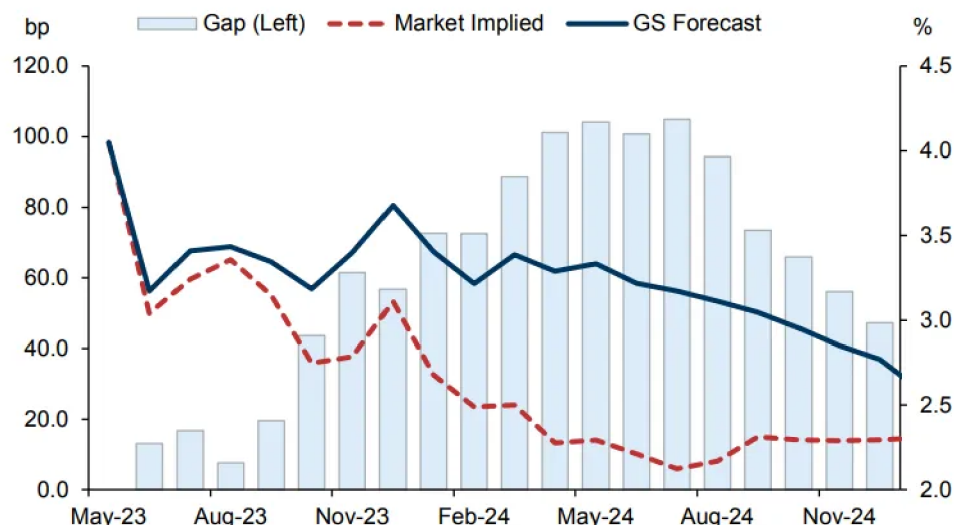
Inflation in the US won't come down as quickly as markets are currently pricing, according to strategists at Goldman Sachs Group Inc.

Investors could be assuming that a sharp deceleration in growth will lead to a more rapid easing of price pressures, and tending to be more bearish on energy prices than what is implied by commodities futures, strategists led by Praveen Korapaty wrote in a note Friday. They see limited ability for those things to lower prices, and say markets are also ignoring the potential for “delayed-onset inflation” in sectors like health care.

“Although we expect further declines in inflation going forward, markets appear considerably more optimistic than we are about the pace of cooling,” the strategists said.

Exhibit 1: Markets appear considerably more optimistic than we are about the pace of inflation normalization

Inflation, forecast and market-implied



Source: Goldman Sachs Global Investment Research

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The Federal Open Market Committee paused its series of interest-rate hikes Wednesday, but policymakers projected rates would move higher than previously expected in response to surprisingly persistent price pressures and labor-market strength. Meanwhile, US short-term inflation expectations fell in early June to a more than two-year low, helping drive consumer sentiment higher.

Fundstrat's head of research, Tom Lee, said in a note Friday that price increases could ease off, potentially this year and possibly amid a drop in the shelter or rent component of the consumer-price index. The stock market is beginning to come around to that view and it probably explains much of the gains year-to-date, he said.

“The Fed can end this inflation war (aka pivot) when the collective public believes inflation is broken,” Lee said, and his best guess is that it “will be sometime in 2023.”

Goldman, meanwhile, even has a trade for those who share the viewpoint that price increases will remain sticky. The firm's strategists recommend

investors buy one-year swaps to bet on inflation realizing higher than current market pricing.

Read more: [Goldman, Barclays Strategists Hit Jackpot With Bet Fed Won't Cut](#)



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